

life.

Earlier, stockbrokers were fighting with each other to make trades with hand gestures and calling out loudly. During those days, noise in the trading pit was not any less than a vegetable market.

In the 1990s, NASDAQ introduced complete electronic trading, and slowly all the exchanges in the world implemented electronic trading. Algo trading picked up its pace from the last decade.

Algo trading is the short form for algorithmic trading or automated trading where system-generated algorithms are used to execute trades. A trader will pre-design the computer program (Amibroker AFLs, Python, or Java) with proper rules on entry, exit, trailing SL, position size, timing, and any related mathematical model.

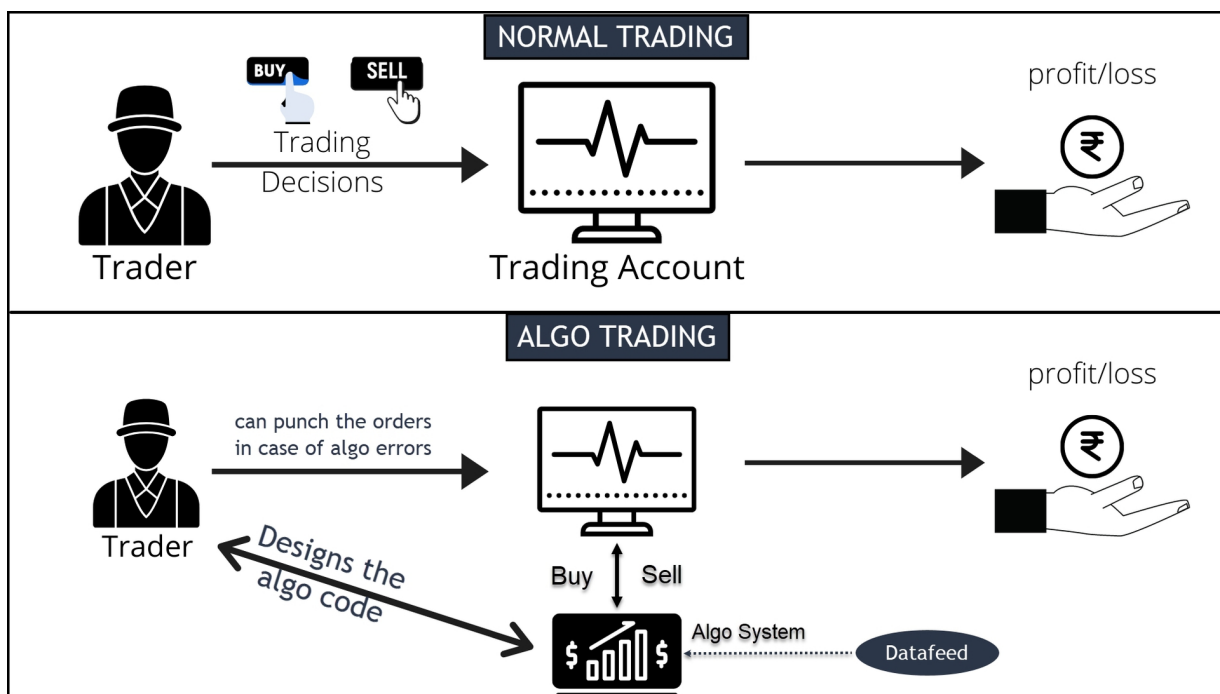


Image – Algo Trading

In normal trading (discretionary trading), a trader will make the buy/sell decisions and place orders in the trading account.

Whereas, in algo trading, a trader will not make any trading decisions in the live market (unless there is some error with algo trade execution). After backtesting its performance with historic data, he will finalize a trading system and deploy it to take trades in the live market.